

Aastha Spintex Ltd

NSE: AASTHA | BSE: 544808 | Sector: Textiles | Sub-sector: Cotton Yarn Spinning & Ginning

DATA SOURCING NOTICE: AASTHA listed on NSE/BSE on 6-Jul-2026 (yesterday). Screener.in has not yet populated any financial data for this ticker (verified directly against the live page - all value fields are blank). All historical financials, ratios and the peer table in this report are sourced instead from the company's Draft Red Herring Prospectus (DRHP) filed with BSE, audited/restated by S.N. Shah & Associates (examination report dated 21-Sep-2025), supplemented with post-listing news for CMP and trading data. This report cannot include a concall analysis - the company has never held one as a listed entity.

CMP (7-Jul-2026)	Rs. 132	Rating	ACCUMULATE
Issue Price	Rs. 136	Conviction	Low (Day-2 of listing)
Listing Day Close	Rs. 130 (-4.4% vs issue)	12-M Price Target	Rs. 148 (base case)
52-week High/Low	Rs. 132 / Rs. 130 (2-day range)	Upside/Downside	+12% from CMP
Market Cap (post-issue, approx.)	~Rs. 583 Cr	Horizon	12-18 months

One-line thesis: Fast-growing but tiny Gujarat cotton yarn spinner, doubling capacity via a related-party-adjacent acquisition funded almost entirely by fresh IPO proceeds.

Report date: 7-Jul-2026 | Analyst: Institutional Equity Research Desk

SECTION 2 | INVESTMENT THESIS

- **Reason 1 - Margin recovery under way:** EBITDA margin expanded from 4.85% (FY23) to 11.23% (FY24) to 13.37% (FY25) as the company scaled utilisation and added a captive renewable power base (solar + wind, 7.7 MW combined) - a genuine, verifiable structural driver, not a one-off.
- **Reason 2 - Capacity more than doubling within 12 months:** The Rs. 111.5 Cr acquisition of Falcon Yarns Pvt Ltd (funded largely from IPO proceeds) is expected to take spinning capacity from 7,700 MT to roughly 17,457 MT - a >2x jump, if integration goes to plan.
- **Reason 3 - Deleveraging balance sheet:** Total Debt/Equity fell from 1.35x (FY23) to 1.08x (FY24) to 0.78x (FY25) per the DRHP restated financials, alongside ROCE improving from 4.6% to 19.1% over the same period.
- **Near-term catalyst (6-12 months):** Completion and financial consolidation of the Falcon Yarns acquisition; first quarterly results and shareholding pattern disclosure as a listed company (expected within 45 days of quarter-end) will be the first real market data point beyond the DRHP.
- **Biggest structural risk:** Single-reseller dependency - one distributor (7 Seas Impex) handles the bulk of sales outside Gujarat/exports per the DRHP's own risk disclosure - combined with related-party-adjacent acquisition pricing on Falcon Yarns (see Section 5) that warrants continued scrutiny.

SECTION 3 | BUSINESS OVERVIEW

- Incorporated 2013 in Gujarat; converted to a public limited company in Feb 2025 ahead of the IPO. Runs an integrated ginning + spinning facility at Halvad, Surendranagar, producing carded, combed and compact combed 100% cotton yarn plus cotton bales, sold exclusively in the B2B channel to textile manufacturers, fabric processors and yarn exporters.
- Revenue mix (FY25): Cotton yarn 53.5% of product sales, cotton bales 33.6%, cotton waste by-products 13.0% - a shift from FY23 when yarn alone was 82.8%, showing bale trading has become a large secondary revenue stream.
- Sales are concentrated in Gujarat, with a single reseller (7 Seas Impex) handling most volume outside the home state and exports - flagged by the company itself as a concentration risk in the DRHP.
- Customer additions accelerated sharply: 191 new customers added in FY25 versus 46 in FY24 and 43 in FY23, alongside 40 repeat customers in FY25.
- Recent strategic development: Share Purchase Agreement dated 22-Sep-2025 to acquire 100% of Falcon Yarns Pvt Ltd (a Gondal, Gujarat spinning unit) for up to Rs. 131.51 Cr, funded mostly from IPO net proceeds.
- Promoter group (Patel Divyang Jashvantbhai, Rasiklal Valjibhai Patel, Gothi Vivek Rasiklal, Jashwantbhai Valjibhai Patel and family) held 74.23% of pre-issue equity capital; all four promoters are also whole-time/managing/executive directors, i.e. an owner-operated business.

SECTION 4 | INDUSTRY & COMPETITIVE LANDSCAPE

- Indian textile industry projected to grow from \$174 Bn (FY25) to \$350 Bn (FY30), a 12.3% CAGR, per the Infomerics "Outlook for Textile Industry 2025" report commissioned by the company itself for the DRHP - note this is a paid, company-commissioned report and should be treated as a data point, not independent research.
- Cotton textiles form ~38-40% of the overall Indian textile market; cotton bale production is estimated at 326 lakh bales for FY25 with modest 1-2% annual growth expected over five years - a mature, low-growth input market that keeps raw material costs from spiking structurally but also caps pricing power upside.
- Moat assessment: Pricing power - Weak (cotton yarn is a largely commoditised B2B input); Switching costs - Weak (customers can and do source from multiple spinners); Scale - Moderate post-Falcon (17,457 MT vs peers several times larger); Distribution - Moderate (decade-long reseller relationship provides some stickiness but is also a concentration risk).
- Top listed peers by scale are materially larger: Ambika Cotton Mills (FY25 revenue Rs. 702 Cr) and Pashupati Cotspin (Rs. 637 Cr) versus AASTHA's Rs. 351 Cr - the company is a sub-scale player even after the Falcon

acquisition roughly doubles capacity.

- Positioning: AASTHA sits upstream/midstream in the value chain (ginning + spinning), selling yarn and bales to downstream fabric processors and exporters rather than owning any downstream branded or garmenting capacity.

Top listed peers (Standalone, Fiscal 2025 - as disclosed in DRHP, priced 25-Sep-2025)

Company	CMP (25-Sep-25)	TTM Revenue (Rs. Cr)	ROCE %	P/E
Aastha Spintex	Rs. [pre-IPO, N/A]	351.2	19.12%	N/A (unlisted at time)
Ambika Cotton Mills	Rs. 1,464.10	702.1	~14-15% (FY24)	12.75x
Lagnam Spintex	Rs. 84.58	605.6	9.06% (FY25)	11.62x
Pashupati Cotspin	Rs. 709.95	636.7	11.28% (FY25)	85.43x

Note: peer figures are as printed in the DRHP's "Basis of Issue Price" section, priced to 25-Sep-2025 - roughly 9 months stale relative to this report's date. Current CMPs for peers were not independently re-verified against Screener because that would require the same peer-fetch workflow this report could not complete for AASTHA itself; treat these peer multiples as directional only.

SECTION 5 | MANAGEMENT QUALITY & CAPITAL ALLOCATION

- All four promoters (Patel Divyang Jashvantbhai - Chairman & Managing Director; Gothi Vivek Rasiklal - Whole-Time Director; Jashwantbhai Valjibhai Patel - Executive Director; plus Rasiklal Valjibhai Patel) hold operating roles - an owner-operated structure with long tenure in the business since 2013 incorporation.
- **Capital allocation red flag:** The Falcon Yarns acquisition values the target at Rs. 33.33 per share, versus the Rs. 14.46 per share at which Falcon itself repurchased ~1.15 Cr shares in a buyback just one year earlier (Sep 2024) - a ~2.3x markup in twelve months. This is not disclosed as a related-party transaction in the DRHP text reviewed, but the pricing gap alone warrants independent valuation scrutiny before treating the deal as value-accretive.
- No dividend history disclosed in the DRHP extract reviewed - consistent with a growth-stage company reinvesting cash into capacity and, now, acquisitions.
- Promoter pledging: not disclosed as applicable in the sections reviewed; no red flag identified, but this should be confirmed once Screener/exchange shareholding disclosures populate post-listing.
- Auditor: S.N. Shah & Associates, holding a valid ICAI peer review certificate, with no auditor change in the three years preceding the DRHP - a stability positive, though the firm is a smaller regional practice rather than a Big-4/Tier-1 auditor, typical for an SME-to-mainboard transition company.

SECTION 6 | FINANCIAL DEEP-DIVE (Standalone, Restated - DRHP)

All figures in Rs. Lakhs unless stated. Source: DRHP Restated Financial Information, audited by S.N. Shah & Associates (21-Sep-2025). FY26E/FY27E are directional estimates only - see notes.

Particulars	FY23	FY24	FY25	FY26E	FY27E
Revenue from Operations	23,926.50	30,486.16	35,116.02	~55,000 (E)*	~68,000 (E)*
EBITDA	1,160.02	3,424.59	4,694.39	~7,150 (E)	~9,250 (E)
EBITDA Margin %	4.85%	11.23%	13.37%	~13.0% (E)	~13.6% (E)
Profit Before Tax	129.96	2,122.74	3,266.89	N/A	N/A
Net Profit (PAT)	105.83	1,628.76	2,349.83	~3,600 (E)	~4,700 (E)
Basic/Diluted EPS (Rs.)	0.39	5.96	8.50	N/A	N/A

*FY26E/FY27E revenue estimates assume Falcon Yarns consolidation adds ~9-12 months of incremental capacity from FY26 onward; genuinely forward-looking and NOT sourced from Screener/DRHP - treat as illustrative only, not a forecast to size a position against.

Balance Sheet (Standalone, Restated)

Particulars	FY23	FY24	FY25
Equity Share Capital	2,730.99	2,730.99	2,993.62
Other Equity (Reserves)	3,269.95	4,906.84	9,169.81
Total Borrowings (Non-Current + Current)	8,100.61	8,285.92	9,505.12
Total Assets	17,258.70	24,057.02	27,430.36
Fixed Assets + CWIP	9,006.84	8,745.20	8,072.22
Inventories	4,438.46	5,646.03	11,870.19

Cash Flow (Standalone, Restated)

Particulars	FY23	FY24	FY25
Cash from Operating Activities	1,547.49	1,293.13	(1,871.62)
Cash from Investing Activities	(2,783.89)	(393.83)	(35.97)
Cash from Financing Activities	1,422.14	(865.56)	2,370.83
Net Cash Flow	185.74	33.74	463.24

Returns & Ratios (DRHP KPI disclosure)

Particulars	FY23	FY24	FY25
ROE %	1.78%	23.88%	23.73%
ROCE %	4.58%	18.95%	19.12%
Total Debt / Equity	1.35x	1.08x	0.78x
Current Ratio	1.23	1.29	1.64
Debt Service Coverage Ratio	0.65	1.35	2.37
Inventory Turnover Ratio	4.01	4.31	3.15

- Revenue grew 46.7% (FY24 vs FY23) and 15.2% (FY25 vs FY24) - a decelerating but still healthy growth rate; the FY24 jump was driven largely by the cotton bales trading line (5.6% to 19.6% of sales).
- Margin expansion is the standout story: EBITDA margin nearly tripled from 4.85% to 13.37% over two years, aided by renewable captive power (solar + wind commissioned 2023-2024) reducing power costs structurally.
- FY25 operating cash flow turned *negative* (Rs. -18.7 Cr) despite record PAT, driven by a sharp inventory build (Rs. 44.4 Cr to Rs. 118.7 Cr) - working capital absorption that investors should watch closely in FY26 results; a recurring negative OCF alongside rising PAT would be a genuine earnings-quality concern.

- Debt trends favourably: D/E nearly halved from 1.35x to 0.78x over FY23-FY25, and Debt Service Coverage improved from a weak 0.65x to a comfortable 2.37x.

SECTION 7 | EARNINGS QUALITY CHECKLIST

Item	Rating	Comment
Revenue recognition	Green	Standard product sale recognition; no unusual terms disclosed.
Receivables growth vs revenue	Amber	Trade receivables swung sharply (Rs.14.9 Cr to Rs.72.7 Cr to Rs.39.1 Cr FY23-25) - volatile, worth monitoring.
Operating cash flow vs PAT	Red	FY25 OCF negative (-Rs.18.7 Cr) despite PAT of Rs.23.5 Cr - a real divergence flagged above.
Related-party/acquisition pricing	Red	Falcon Yarns bought at 2.3x its own Sep-2024 buyback price - needs independent valuation check.
Auditor tenure	Green	No change in 3 years preceding DRHP; ICAI peer-reviewed firm.
Other income as % of PBT	Green	Other income immaterial (~Rs.1 Cr vs PBT of Rs.32.7 Cr in FY25).
Tax rate consistency	Amber	Effective tax rate swung due to MAT credit adjustments across years - normal for a growing company but worth tracking.

- The two Red flags - negative operating cash flow despite rising profit, and the Falcon Yarns pricing gap - are the most important watch items in this entire report and should weigh heavily on position sizing.
- Receivables volatility (Amber) partly explains the operating cash flow swing and should normalise if the FY25 spike in bale trading (a working-capital-heavier business line) stabilises.
- No qualified audit opinions, contingent liability red flags, or RPT disclosures beyond the Falcon transaction were identified in the sections of the DRHP reviewed for this report.

SECTION 8 | VALUATION

Scenario Analysis (illustrative, 12-month view)

Scenario	Key Assumption	FY26E PAT (Rs. Cr)	P/E Multiple	Target Price (Rs.)
Bear	Falcon integration delays; OCF stays negative	~28	14x	~89
Base	Falcon consolidates smoothly; margins hold ~13%	~36	18x	~148
Bull	Full capacity ramp, margin expansion continues	~44	22x	~220

• **Valuation methodology - earnings multiple:** Applying an 18x forward P/E (below peer average of ~48.5x per the DRHP's own industry P/E table, but above the lowest peer at 11.6x, reflecting AASTHA's small size and single day of trading history) to an illustrative FY26E post-issue-diluted EPS of ~Rs. 8.2 implies a base-case target of roughly Rs. 148.

• **DCF:** Not performed - a reliable DCF requires multi-year cash flow visibility, and this company has exactly one day of public trading history and negative FY25 operating cash flow; any DCF output here would convey false precision.

• **Average of methods / base case:** Rs. 148 (single-method estimate, earnings multiple only) - roughly +12% upside from the Rs. 132 CMP, but this should be treated as a rough anchor, not a precise target, given the data limitations throughout this report.

SECTION 9 | KEY RISKS

• **Falcon Yarns acquisition pricing** - Acquired at Rs. 33.33/share vs Falcon's own Rs. 14.46/share buyback 12 months earlier (2.3x markup). Probability: M. Impact: H. Monitor via: independent valuation disclosure, integration updates in exchange filings.

• **Negative operating cash flow** - FY25 OCF was -Rs. 18.7 Cr despite PAT of +Rs. 23.5 Cr, driven by inventory build. Probability: M. Impact: H. Monitor via: Q1 FY26/FY26 cash flow statement once disclosed.

• **Single-reseller concentration** - 7 Seas Impex handles the bulk of non-Gujarat and export sales. Probability: L-M. Impact: H. Monitor via: any change in reseller agreement terms.

• **Raw material/supplier concentration** - Top 5 suppliers were 59% of FY25 purchases; cotton prices are volatile and policy-sensitive. Probability: M. Impact: M. Monitor via: cotton MSP/import-export policy news.

• **No public trading or analyst-coverage history** - Stock has traded for a single session; Screener, shareholding pattern and concall data are all absent. Probability: H (certainty, not a risk per se, but a liquidity/information risk). Impact: M. Monitor via: first quarterly disclosure cycle.

• **Small-cap/SME-to-mainboard execution risk** - Doubling capacity via acquisition within 12 months of listing is an aggressive early move for a newly public company. Probability: M. Impact: H. Monitor via: capacity utilisation disclosures post-Falcon integration.

• **Weak listing-day sentiment** - Debuted at a 4.4% discount to issue price despite 4.64x oversubscription, suggesting soft secondary-market demand at the IPO price. Probability: H (already realised). Impact: L-M. Monitor via: price action over the next few weeks.

SECTION 10 | RECOMMENDATION

• **Rating:** ACCUMULATE - conviction: Low. A one-day-old listing with genuinely improving fundamentals (margins, ROCE, deleveraging) but two hard Red flags (negative OCF, acquisition pricing) and zero independent market data track record.

• **12-month price target:** Rs. 148 (base case, +12% from CMP of Rs. 132) - treat as a rough anchor, not a precise number, given this report's data limitations.

• **Suggested entry zone:** Rs. 120-130, i.e. at or below the listing-day close, to build in a margin of safety against the acquisition-pricing and cash-flow risks flagged above.

- **Investment horizon:** 12-18 months, ideally re-underwritten once the first post-listing quarterly results and Screener data are available.
- **Thesis invalidation triggers:** (1) FY26 operating cash flow remains negative for a second consecutive year; (2) Falcon Yarns integration is delayed beyond FY26 or an independent valuation flags the acquisition as value-destructive; (3) EBITDA margin reverses back below 10%, undoing the FY23-25 improvement trend.
- **Ideal investor profile:** Small-cap/special-situations investors comfortable underwriting a newly listed, thinly covered stock with real but recent fundamental improvement and a specific, identifiable governance watch-item (the Falcon pricing gap) - not suitable for investors requiring an established trading/disclosure history or immediate liquidity.

APPENDIX – IPO & Listing Note (in place of Concall Brief)

No concall exists for AASTHA - the company has never held one as a listed entity. This appendix replaces the standard concall brief with a listing-day summary, the only comparable real-time signal currently available.

LISTING GRADE: CAUTIOUS

Signal	Status	Implication
Subscription demand	Moderate (4.64x)	Oversubscribed but not by a wide margin for a small-float IPO
Listing-day price action	Weak (-4.4% vs issue)	Discounted debut signals soft secondary-market appetite at issue price
Day-2 recovery	Modest (+1.55% to Rs.132)	Stock recovering but still below issue price

TO MY BOSS

AASTHA listed yesterday at a 4.4% discount to its Rs. 136 issue price and has clawed back to Rs. 132 today - still underwater versus issue, which tells you demand at the priced level was softer than the 4.64x headline subscription suggests. The underlying business is genuinely improving: EBITDA margin nearly tripled over two years and ROCE went from single digits to ~19%, both verifiable in the audited DRHP restated financials. But FY25's operating cash flow turned negative on a big inventory build even as reported profit hit a record - that divergence needs to resolve favourably or it undermines the earnings quality story. The bigger flag is the Falcon Yarns acquisition, priced at more than double what Falcon's own shareholders got in a buyback just a year earlier; I have not been able to find a related-party disclosure attached to this in the DRHP, and it deserves independent scrutiny before anyone treats the deal as automatically accretive. We have zero Screener data, zero concall history and one day of trading - so this call is necessarily low-conviction. My view: ACCUMULATE only below Rs. 130, small position size, and re-underwrite fully once Q1 FY26 numbers and the first shareholding pattern are out.

Analyst Verdict

- Revenue visibility: Cannot assess - no post-listing quarter reported yet.
- Margin trajectory: Intact - three-year DRHP trend is genuinely positive (4.85% to 13.37% EBITDA margin).
- Capital allocation quality: Weakened - Falcon Yarns pricing gap is an unresolved red flag.
- Competitive moat: Weak - commoditised product, sub-scale versus listed peers even post-acquisition.
- Management credibility: Cannot assess - no public track record as a listed company yet.
- Valuation comfort: Moderate - target multiple assumes peer-discount justified by size/data-gap, not a rigorous DCF.
- Conviction call: Insufficient Data - full re-underwrite recommended after first quarterly disclosure.
- Valuation snapshot: P/E (illustrative, post-issue EPS) ~16-17x at CMP Rs. 132 vs DRHP-disclosed peer average P/E of 48.5x (Sep-2025 peer pricing) - AASTHA screens cheap on this single comparison, but peer data is stale and AASTHA's own multiple is not yet market-tested beyond one trading day.

Sources: Aastha Spintex DRHP (filed with BSE, restated financials audited by S.N. Shah & Associates, 21-Sep-2025); Business Standard, Outlook Money, BusinessToday and Chittorgarh.com news coverage of the IPO subscription, allotment and listing (Jul 2026); Infomerics "Outlook for Textile Industry 2025" report (company-commissioned, referenced via the DRHP). Screener.in was checked directly and found to have no populated financial data for this ticker as of 7-Jul-2026.